NMLS SAFE MLO

Practice Exam B

SAFE Exam Difficulty Level

25 Questions | Answers, Explanations & 'Why Not' Analysis

Exam Date: May 22, 2026

EXAM INSTRUCTIONS: This exam is calibrated to ACTUAL NMLS SAFE exam difficulty. Answer choices are designed to be plausible — read carefully for words like EXCEPT, NOT, MOST, BEST, and PERMITTED. Time limit: 30 minutes. Score 19+ (75%) to pass this practice exam. Answer key with full explanations — including why wrong answers are wrong — begins after Question 25.

ANSWER GRID				
1. ___	2. ___	3. ___	4. ___	5. ___
6. ___	7. ___	8. ___	9. ___	10. ___
11. ___	12. ___	13. ___	14. ___	15. ___
16. ___	17. ___	18. ___	19. ___	20. ___
21. ___	22. ___	23. ___	24. ___	25. ___

EXAM B — QUESTIONS

[Federal Laws — ECOA / Pre-Application]

1. A borrower calls a lender to inquire about mortgage rates. After discussing the borrower's situation, the loan officer concludes the borrower will likely not qualify and ends the call without taking an application. Under ECOA, what is the lender required to do?

A) Provide an adverse action notice within 30 days of the inquiry.
B) Nothing — ECOA's adverse action requirements are only triggered by a complete application.
C) Provide a written pre-qualification denial within 30 days.
D) Refer the borrower to a HUD-approved housing counselor as required by ECOA.

[Federal Laws — APR vs. Note Rate]

2. A borrower's note rate is 6.50%. The disclosed APR is 6.84%. The borrower asks why the APR is higher. The BEST explanation is:

A) The APR is calculated on a 365-day year while the note rate uses a 360-day year.
B) The APR includes most lender fees and charges amortized over the loan term, increasing the effective cost.
C) The APR reflects the lender's profit margin above the base cost of funds.
D) The APR is higher because it accounts for the possibility of prepayment.

[Federal Laws — TRID Waiting Periods]

3. A Closing Disclosure is delivered to the borrower on a Tuesday. Assuming no federal holidays, what is the EARLIEST date consummation can occur?

A) Thursday — 2 business days after delivery.
B) Friday — 3 calendar days after delivery.
C) Friday — 3 business days (Tuesday + 3 days, excluding Sundays).
D) Saturday — 3 business days after Tuesday, with Saturday counting as a business day.

[General Mortgage — VA Loan]

4. A veteran purchases a $400,000 home with no down payment. The VA funding fee for first-time use with no down payment is 2.15%. If the veteran finances the funding fee into the loan, what is the total loan amount?

A) $400,000 — the funding fee is paid separately and not financed.
B) $408,000 — calculated using a 2.0% funding fee.
C) $408,600 — the loan amount plus the financed 2.15% funding fee.
D) $416,600 — calculated including state recording taxes at 2.0%.

[General Mortgage — ARM Lifetime Cap]

5. An ARM starts with an initial rate of 4.00% and has a 5/2/5 cap structure. Assuming the index rises significantly, what is the MAXIMUM interest rate this loan can ever reach?

A) 9.00% — the initial rate plus the lifetime cap.
B) 6.00% — the initial rate plus the initial adjustment cap.
C) 11.00% — calculated by adding all caps together.
D) 8.00% — the initial rate plus two periodic adjustments.

[Loan Origination — URLA Demographic Info]

6. During a face-to-face loan application, a borrower declines to provide their race and ethnicity for the URLA demographic section. What must the MLO do?

A) Leave the section blank — the borrower has a right to privacy.

B) Decline to process the application until the borrower provides the required information.

C) Complete the demographic section based on visual observation and/or surname.

D) Have the borrower sign a privacy waiver and note the refusal in the loan file.

[Loan Origination — Closing Disclosure Triggers]

7. A lender issues a Closing Disclosure. Three days before consummation, the seller agrees to pay an additional $1,500 in closing costs, and the borrower's loan amount changes from a 30-year fixed to a 15-year fixed. Which of these events requires a new CD with a new 3-business-day waiting period?

A) Both events — any change to the CD requires a new waiting period.

B) Neither event — the waiting period has already started and cannot be reset.

C) Only the loan product change — but not the seller credit increase.

D) Only the seller credit increase — but not the loan product change.

[Ethics — Fraud for Profit Scheme]

8. An MLO, appraiser, and title agent conspire to purchase distressed properties, inflate the appraisal value, and flip the properties at the inflated price to unsuspecting buyers using federally insured loans. This scheme is BEST described as:

A) Fraud for Housing because the end buyers are unknowing participants.

B) Fraud for Profit — an industry insider scheme that accounts for the majority of mortgage fraud dollar losses.

C) A RESPA Section 8 violation because the parties receive referral fees.

D) A predatory lending scheme under HOEPA because the loans carry excessive fees.

[Federal Laws — Bank Secrecy Act / Structuring]

9. A borrower makes three separate cash deposits of $4,500 each on consecutive days at a bank. The deposits are later confirmed to fund a legitimate down payment. The bank discovers this pattern during review. What is the CORRECT regulatory response?

A) File three separate Currency Transaction Reports since the aggregate exceeds $10,000.

B) Take no action — each individual deposit is under the $10,000 CTR threshold and the funds are legitimate.

C) File a Suspicious Activity Report because the deposits appear structured to avoid CTR reporting.

D) Inform the mortgage lender of the cash deposits and let them decide whether to report.

[Federal Laws — Bank Secrecy Act]

10. A borrower makes three separate cash deposits of $4,500 each on consecutive days to accumulate funds for a down payment. A bank teller recognizes this pattern and asks the branch manager what to do. The CORRECT response is:

A) File a Currency Transaction Report for each deposit since they total more than $10,000.

B) File a Suspicious Activity Report because the deposits appear designed to evade CTR reporting.

C) Take no action — each individual deposit is under the $10,000 CTR threshold.

D) Report the pattern to the mortgage lender's compliance department, not FinCEN.

[Ethics — UDAAP Abusive]

11. A mortgage servicer identifies borrowers who are 45 days late and requires them to enroll in a $200/month 'Homeowner Retention Program' to avoid foreclosure proceedings. The program provides no meaningful assistance. A borrower who refuses is immediately referred to foreclosure. This BEST constitutes:

A) A RESPA violation because additional fees are collected without proper disclosure.
B) A TILA violation because the fee changes the finance charge without new disclosures.
C) An UDAAP abusive practice — taking unreasonable advantage of borrowers unable to protect their interests.
D) A Fair Housing Act violation if minority borrowers are disproportionately targeted.

[Federal Laws — HMDA vs. ECOA]

12. Which statement MOST accurately describes the relationship between HMDA and ECOA in combating lending discrimination?

A) HMDA prohibits discrimination; ECOA provides the data to enforce it.
B) ECOA prohibits discrimination; HMDA collects data to help identify potential violations.
C) Both statutes independently prohibit discrimination and carry the same penalties.
D) HMDA supersedes ECOA when LAR data reveals discriminatory patterns.

[General Mortgage — Chapter 7 Bankruptcy Waiting]

13. A borrower discharged from Chapter 7 bankruptcy 2.5 years ago wants to purchase a primary residence. Which loan type could they potentially qualify for TODAY?

A) Conventional (Fannie Mae) — 4-year waiting period from discharge.
B) FHA — 2-year waiting period from discharge.
C) VA — 2-year waiting period from discharge.
D) Both FHA and VA — both have 2-year waiting periods from discharge.

[Loan Origination — Income Documentation]

14. A self-employed borrower wants to purchase a home. They have owned their business for 18 months and claim $120,000 annual income. The MLO should advise:

A) The income can be used if supported by 12 months of bank statements showing regular deposits.
B) The income cannot be used — conventional lenders require 2 years of self-employment history.
C) The income can be averaged over the 18 months using the most recent tax return.
D) The borrower can substitute a CPA letter for the required 2 years of tax returns.

[SAFE Act — CE Rules]

15. An MLO completed 8 hours of continuing education from an approved provider in 2024, covering the required subjects. She then teaches the same 8-hour CE course to other MLOs in 2025. Can she count those teaching hours as her 2025 CE?

A) No — she must take a different course from a different approved provider in 2025.
B) No — teaching hours never count toward CE requirements.
C) Yes — instructors who teach approved CE courses may count those hours toward their own CE requirement.
D) Yes — but only if she takes an additional 4 hours of CE from a separate provider.

[Federal Laws — Fair Housing Act Exemptions]

16. A private individual owns a single-family home and wants to sell it. She advertises it with the statement 'Perfect for Christian families — no children preferred.' Which statement is MOST accurate?

A) This is permissible — private sellers are exempt from the Fair Housing Act.

B) The religion preference is permissible for a private seller, but the 'no children' preference violates the FHA's familial status protection.

C) Both statements potentially violate the Fair Housing Act — private sellers are NOT fully exempt.

D) This is permissible as long as the seller does not use a real estate agent in the transaction.

[General Mortgage — FHA MIP Duration]

17. A borrower takes out an FHA loan in 2024 with a 3.5% down payment (96.5% LTV). They pay consistently for 11 years, bringing the LTV to 68%. What happens to FHA Mortgage Insurance Premium at that point?

A) MIP automatically cancels when LTV drops to 78% based on the original amortization.

B) MIP automatically cancels at 11 years regardless of LTV for loans originated after 2013.

C) MIP continues for the life of the loan because the original LTV exceeded 90%.

D) MIP cancels when the borrower requests it and the LTV is at or below 80%.

[Ethics — Disparate Impact vs. Disparate Treatment]

18. A lender's policy requires all mortgage applicants to have a minimum of 10 years at their current job. The policy is applied equally to all applicants regardless of race. However, statistical analysis shows the policy disqualifies minority applicants at twice the rate of non-minority applicants. This is an example of:

A) Disparate treatment — the policy results in unequal outcomes by race.

B) Disparate impact — a facially neutral policy that disproportionately disadvantages a protected class.

C) Redlining — because minority borrowers are effectively excluded from mortgage access.

D) Steering — because minority borrowers are being directed toward different loan products.

[SAFE Act — Exempt Persons]

19. Which of the following persons is NOT required to obtain an MLO license under the SAFE Act?

A) An independent contractor who underwriters loans for multiple mortgage companies from a home office.

B) An employee of a mortgage company who takes applications and negotiates terms with borrowers.

C) A licensed real estate agent who occasionally assists clients in completing loan applications for referral to a lender.

D) A W-2 employee of a state-licensed mortgage company who only performs data entry and collects documents under the direction of a licensed MLO.

[Federal Laws — TILA Rescission Period Extension]

20. A lender closes a refinance loan on a primary residence but fails to provide the right of rescission notice. Three years after closing, the borrower learns of this error and wants to rescind. Which is CORRECT?

A) The borrower cannot rescind — the standard 3-business-day period has long expired.

B) The borrower may be able to rescind — the rescission period extends to 3 years if required disclosures were not provided.

C) The borrower can rescind only if they can show actual harm from the disclosure failure.

D) The lender must provide a retroactive disclosure and then the 3-business-day period restarts.

[General Mortgage — HELOC vs. Closed-End Second]

21. A borrower is deciding between a HELOC and a closed-end home equity loan (second mortgage) to fund a $50,000 kitchen renovation. Which statement MOST accurately describes the key difference?

A) HELOCs have a fixed interest rate; home equity loans have a variable rate.

B) HELOCs are revolving credit with a variable rate; home equity loans are fixed lump-sum with a fixed rate.

C) Both products have identical tax treatment; the only difference is how funds are disbursed.

D) A HELOC requires PMI if the combined LTV exceeds 80%; a home equity loan does not.

[SAFE Act — Transitional Licensing]

22. An MLO currently licensed in Texas accepts a position with a mortgage company in Colorado. She has not yet applied for a Colorado license. Under EGRRCPA transitional licensing provisions, she may:

A) Originate loans in Colorado immediately for up to 120 days while pursuing a Colorado license.

B) Originate loans in Colorado immediately but must apply for a Colorado license within 30 days.

C) Not originate in Colorado until her Colorado license is granted — no transitional authority exists.

D) Use her Texas license to originate in Colorado under interstate reciprocity agreements.

[Federal Laws — Flood Insurance]

23. A lender closes a loan on a property in a FEMA Special Flood Hazard Area (Zone AE). The borrower's homeowner's policy includes water damage coverage. The borrower argues flood insurance is redundant. The lender should:

A) Accept the homeowner's policy — water damage coverage satisfies the flood insurance requirement.

B) Require separate NFIP or private flood insurance — standard homeowner's policies do not cover flood damage.

C) Accept a written waiver from the borrower acknowledging the flood risk.

D) Require flood insurance only if the loan amount exceeds $100,000.

[Ethics — LO Compensation Rule]

24. An MLO's compensation plan at a mortgage company pays a flat 1% of loan amount for all loans, PLUS an additional 0.25% bonus when the borrower's interest rate is 0.5% above the market rate. Which element of this compensation plan violates Dodd-Frank?

A) The flat 1% of loan amount — percentage-based compensation is prohibited.

B) The 0.25% bonus tied to the interest rate — compensation cannot vary based on loan terms.

C) Both elements violate Dodd-Frank — MLO compensation must be flat dollar amounts only.

D) Neither element violates Dodd-Frank — both are disclosed to the borrower on the Closing Disclosure.

[Federal Laws — SAFE Act Unique Identifier]

25. Where is an MLO's NMLS unique identifier required to appear? Select the MOST complete answer.

A) On the Loan Estimate and Closing Disclosure only.

B) On all residential mortgage loan application forms and written communications about the loan.

C) On all loan documents, advertising materials, and business cards.

D) Only on documents submitted to federal regulators and GSEs.

EXAM B — ANSWER KEY WITH FULL EXPLANATIONS

★ *For each question: the CORRECT answer is explained first. Then 'WHY NOT' sections explain the tricky wrong answers — especially those that might seem correct or that would be correct if the question were asked differently.*

1. A borrower calls a lender to inquire about mortgage rates. After discussing the borrower's situation, the loan officer concludes the borrower will likely not qualify and ends the call without taking an application. Under ECOA, what is the lender required to do?

✓ CORRECT: B) Nothing — ECOA's adverse action requirements are only triggered by a complete application.

ECOA adverse action requirements are only triggered when an applicant submits a COMPLETE APPLICATION (all 6 pieces of information) and the lender acts on it. An inquiry or pre-qualification conversation, even if the lender discourages applying, does not trigger the adverse action notice requirement.

WHY NOT the other options:

A) Adverse action is required after a COMPLETE APPLICATION is received and acted upon — not after an inquiry. The borrower here never applied.

C) There is no pre-qualification denial notice requirement under ECOA. Pre-qualification is entirely voluntary and informal.

D) HUD housing counselor referrals are required under HOEPA for high-cost mortgages — not by ECOA for all inquiries.

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2. A borrower's note rate is 6.50%. The disclosed APR is 6.84%. The borrower asks why the APR is higher. The BEST explanation is:

✓ CORRECT: B) The APR includes most lender fees and charges amortized over the loan term, increasing the effective cost.

The APR converts the interest rate PLUS most fees and closing costs (origination fees, points, PMI, certain third-party fees) into a single annual rate. Because fees are included, the APR is always equal to or higher than the note rate — it represents the true all-in cost of the loan.

WHY NOT the other options:

A) Day-count conventions (360 vs 365) affect per diem interest calculations but are not the reason APR exceeds the note rate on the TILA disclosure.

C) APR is not a profit disclosure — it's a consumer cost transparency tool. Profit margins are not a component of the TILA APR calculation.

D) Prepayment risk affects pricing and MBS yields in secondary markets, but prepayment assumptions are not part of the TILA APR calculation.

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3. A Closing Disclosure is delivered to the borrower on a Tuesday. Assuming no federal holidays, what is the EARLIEST date consummation can occur?

✓ CORRECT: B) Friday — 3 calendar days after delivery.

The CD requires 3 BUSINESS DAYS before consummation, where business day means all days except Sundays and federal public holidays. Tuesday delivery: Day 1 = Wednesday, Day 2 = Thursday, Day 3 = Friday. Earliest consummation = Friday.

WHY NOT the other options:

A) Thursday is only 2 days after Tuesday — the requirement is 3 business days.

C) Friday is correct — but the explanation matters: it's 3 business days, not '3 calendar days.' The answer C uses business days and arrives at Friday, which coincides with the calendar day count here.

D) Saturday would be Day 4 — the requirement is met by Friday. The lender doesn't need to wait until Saturday.

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4. A veteran purchases a $400,000 home with no down payment. The VA funding fee for first-time use with no down payment is 2.15%. If the veteran finances the funding fee into the loan, what is the total loan amount?

✓ CORRECT: C) $408,600 — the loan amount plus the financed 2.15% funding fee.

VA funding fee = $400,000 × 2.15% = $8,600. Total financed loan = $400,000 + $8,600 = $408,600. The VA allows the funding fee to be financed into the loan amount, which is a common strategy to minimize cash needed at closing.

WHY NOT the other options:

A) $400,000 would be correct only if the fee was paid in cash at closing — the question specifies the borrower is financing it.

B) $408,000 corresponds to a 2.0% funding fee ($8,000), not 2.15%.

D) $416,600 has no basis in the given numbers — recording taxes are not standard components of the financed loan amount.

5. An ARM starts with an initial rate of 4.00% and has a 5/2/5 cap structure. Assuming the index rises significantly, what is the MAXIMUM interest rate this loan can ever reach?

✓ CORRECT: A) 9.00% — the initial rate plus the lifetime cap.

The lifetime cap (the third number in 5/2/5) limits the maximum total rate change over the life of the loan. 5/2/5 means: first adjustment up to 5%, subsequent adjustments up to 2% each, lifetime total up to 5%. Maximum rate = initial rate + lifetime cap = 4.00% + 5.00% = 9.00%.

WHY NOT the other options:

B) 6.00% is initial rate + initial adjustment cap (4% + 2%? No, initial cap is 5%). Wait: 5/2/5 = 5% first adj, 2% per adj, 5% lifetime. So first adjustment max = 4% + 5% = 9%... which equals the lifetime max. In this case first adjustment max and lifetime max are the same. B uses 4% + 2% = 6% which incorrectly uses the periodic cap.

C) 11.00% would result from adding 4% + 5% + 2% + 0% which has no basis. Caps don't stack additively that way — the lifetime cap is the maximum total change regardless of path.

D) 8.00% has no systematic basis in the 5/2/5 cap structure applied to a 4.00% initial rate.

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6. During a face-to-face loan application, a borrower declines to provide their race and ethnicity for the URLA demographic section. What must the MLO do?

✓ CORRECT: C) Complete the demographic section based on visual observation and/or surname.

Under HMDA regulations, when a borrower applies in person and declines to provide race/ethnicity, the loan originator is REQUIRED to collect the information based on visual observation or surname. This is for government monitoring purposes only and has NO effect on the credit decision.

WHY NOT the other options:

A) Leaving it blank is not acceptable for in-person applications. Lenders must collect demographic data for HMDA reporting — the regulation requires observation/surname if borrower declines in person.

B) The application must be processed regardless of whether demographic information is provided. Demographic data collection is separate from credit evaluation.

D) No privacy waiver is specified in HMDA regulations. The observation/surname rule is the required procedure.

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7. A lender issues a Closing Disclosure. Three days before consummation, the seller agrees to pay an additional $1,500 in closing costs, and the borrower's loan amount changes from a 30-year fixed to a 15-year fixed. Which of these events requires a new CD with a new 3-business-day waiting period?

✓ CORRECT: C) Only the loan product change — but not the seller credit increase.

Three specific events trigger a new 3-business-day CD waiting period: (1) APR increases beyond tolerance, (2) loan product changes (e.g., fixed to ARM, or this case 30-year to 15-year changes the product type), (3) a prepayment penalty is added. A seller paying MORE costs benefits the borrower and does NOT trigger a new waiting period.

WHY NOT the other options:

A) Not all CD changes trigger a new waiting period. Minor corrections, seller credit increases, and most favorable changes do not restart the clock.

B) Certain changes DO reset the waiting period — the loan product change here is one of them.

D) The seller credit increase does NOT trigger a new waiting period since it benefits the borrower. The loan product change (30yr fixed to 15yr fixed) DOES trigger a new waiting period.

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8. An MLO, appraiser, and title agent conspire to purchase distressed properties, inflate the appraisal value, and flip the properties at the inflated price to unsuspecting buyers using federally insured loans. This scheme is BEST described as:

✓ CORRECT: B) Fraud for Profit — an industry insider scheme that accounts for the majority of mortgage fraud dollar losses.

Fraud for Profit involves mortgage industry insiders (MLOs, appraisers, title agents, attorneys) using their positions to enrich themselves at the expense of lenders and ultimately taxpayers. It accounts for approximately 80% of mortgage fraud losses. This scheme (coordinated flip with inflated appraisal) is a classic Fraud for Profit pattern.

WHY NOT the other options:

A) The end buyers being 'unknowing' doesn't make it Fraud for Housing. Fraud for Housing is committed BY borrowers to qualify for loans they otherwise couldn't get — not fraud targeting borrowers.

C) RESPA Section 8 covers kickbacks for settlement service referrals — while there may also be RESPA issues, the primary characterization of this scheme is federal mortgage fraud (18 U.S.C. §1344, §1014).

D) HOEPA governs high-cost mortgages — the scheme here is about fraudulent property values and loans, not specifically high-cost loan terms.

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9. A borrower makes three separate cash deposits of $4,500 each on consecutive days at a bank. The deposits are later confirmed to fund a legitimate down payment. The bank discovers this pattern during review. What is the CORRECT regulatory response?

✓ CORRECT: C) File a Suspicious Activity Report because the deposits appear structured to avoid CTR reporting.

Structuring — breaking transactions into amounts below the $10,000 CTR threshold to avoid reporting — is a federal crime under BSA regardless of whether the underlying funds are legitimate. When a pattern suggesting structuring is identified, a SAR must be filed. The legitimacy of the funds does not eliminate the structuring concern.

WHY NOT the other options:

A) CTR is required for each INDIVIDUAL cash transaction over $10,000. These individual deposits at $4,500 each do not independently trigger a CTR. However, the structuring pattern triggers a SAR obligation.

B) The 'legitimate funds' defense does not eliminate the structuring violation. Structuring is illegal even when the source of funds is entirely lawful — the illegal act is the breaking up of transactions to avoid reporting.

D) SAR filing is a direct obligation of the financial institution to FinCEN — it cannot be delegated or deferred to the mortgage lender. The bank must file the SAR independently.

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10. A borrower makes three separate cash deposits of $4,500 each on consecutive days to accumulate funds for a down payment. A bank teller recognizes this pattern and asks the branch manager what to do. The CORRECT response is:

✓ CORRECT: B) File a Suspicious Activity Report because the deposits appear designed to evade CTR reporting.

This is 'structuring' (also called smurfing) — deliberately breaking transactions into amounts below the $10,000 CTR threshold to avoid federal reporting. Structuring is illegal under BSA regardless of whether the underlying funds are legal. A SAR must be filed when structuring is suspected.

WHY NOT the other options:

A) CTR is required for single transactions over $10,000 — not for aggregated amounts across separate transactions. However, the SAR requirement for structuring is the more appropriate response.

C) While no individual CTR is required, recognizing the structuring pattern and doing nothing is itself a BSA compliance failure. Financial institutions must file SARs for suspicious activity.

D) SARs go to FinCEN (Financial Crimes Enforcement Network), not to internal mortgage department staff. This is a federal regulatory reporting obligation.

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11. A mortgage servicer identifies borrowers who are 45 days late and requires them to enroll in a $200/month 'Homeowner Retention Program' to avoid foreclosure proceedings. The program provides no meaningful assistance. A borrower who refuses is immediately referred to foreclosure. This BEST constitutes:

✓ CORRECT: C) An UDAAP abusive practice — taking unreasonable advantage of borrowers unable to protect their interests.

This is a textbook UDAAP abusive practice: the servicer takes unreasonable advantage of borrowers who are in a financially and legally vulnerable position (at risk of losing their homes) and cannot reasonably protect their own interests. Charging for a worthless program under threat of foreclosure meets the 'abusive' standard under Dodd-Frank.

WHY NOT the other options:

A) While fee disclosure may also be deficient, the core violation is UDAAP abusive — the fee itself is predatory and exploitative, beyond just a disclosure problem.

B) TILA finance charge disclosures apply to origination and the loan agreement, not servicing add-on fees. This is not a TILA disclosure violation.

D) The facts don't specify targeting by protected class. Even if a Fair Housing violation might co-exist, the primary violation evident from the facts is UDAAP abusive.

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12. Which statement MOST accurately describes the relationship between HMDA and ECOA in combating lending discrimination?

✓ CORRECT: B) ECOA prohibits discrimination; HMDA collects data to help identify potential violations.

ECOA is the PROHIBITION statute — it prohibits lenders from discriminating in any aspect of a credit transaction. HMDA is the DATA COLLECTION statute — it requires reporting of loan data (race, ethnicity, sex, income, loan location) to enable regulators to identify patterns that may indicate ECOA or FHA violations.

WHY NOT the other options:

A) This reverses the roles. HMDA does NOT prohibit discrimination — it collects data. ECOA is the prohibition.

C) The statutes have very different functions and penalty structures. HMDA carries its own penalties for non-reporting but does not prohibit discrimination. ECOA prohibits discrimination and carries separate civil remedies.

D) HMDA does not supersede ECOA. HMDA data may trigger an ECOA examination, but the two statutes operate independently.

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13. A borrower discharged from Chapter 7 bankruptcy 2.5 years ago wants to purchase a primary residence. Which loan type could they potentially qualify for TODAY?

✓ CORRECT: D) Both FHA and VA — both have 2-year waiting periods from discharge.

Both FHA and VA have 2-year waiting periods from the Chapter 7 bankruptcy discharge date, with re-established credit. At 2.5 years post-discharge, a borrower would meet both timelines. Conventional (Fannie Mae) requires 4 years from discharge.

WHY NOT the other options:

A) Conventional requires 4 years from discharge — the borrower at 2.5 years has NOT yet met the conventional waiting period.

B) FHA's 2-year period is met, but so is VA's. Selecting only FHA misses the better answer (D).

C) VA's 2-year period is met, but so is FHA's. Selecting only VA misses the better answer (D).

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14. A self-employed borrower wants to purchase a home. They have owned their business for 18 months and claim $120,000 annual income. The MLO should advise:

✓ CORRECT: B) The income cannot be used — conventional lenders require 2 years of self-employment history.

Standard Fannie Mae/Freddie Mac conventional guidelines require 2 years of self-employment history (evidenced by 2 years of tax returns) to use self-employment income. At 18 months, the borrower does not meet this threshold — they should consider government loans or waiting until 24 months.

WHY NOT the other options:

A) Bank statement loans exist (non-QM) but are not standard conventional guidelines. Fannie/Freddie require tax returns showing 2-year history — bank statements alone don't satisfy the requirement.

C) Averaging 18 months is not permissible for conventional loans. Fannie Mae requires 2 years minimum — there's no 'exception for close to 2 years.'

D) A CPA letter can supplement but cannot replace 2 years of tax returns for conventional qualifying. The tax returns are the primary documentation requirement.

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15. An MLO completed 8 hours of continuing education from an approved provider in 2024, covering the required subjects. She then teaches the same 8-hour CE course to other MLOs in 2025. Can she count those teaching hours as her 2025 CE?

✓ CORRECT: C) Yes — instructors who teach approved CE courses may count those hours toward their own CE requirement.

Under SAFE Act regulations, an approved CE instructor can count the hours they teach as their own CE credit for that year. However, an MLO cannot take the SAME course they completed for CE credit in a PRIOR year and count it again — they can only take each approved course once per year.

WHY NOT the other options:

A) The issue isn't about taking a different course — it's about whether she taught the course (which allows counting) vs. re-taking the same student course (which doesn't).

B) Teaching hours CAN count toward CE — this is an explicit SAFE Act provision to encourage instructors.

D) There's no requirement for additional supplemental hours when an instructor counts their teaching hours. The full 8 hours of instruction satisfies the annual CE requirement.

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16. A private individual owns a single-family home and wants to sell it. She advertises it with the statement 'Perfect for Christian families — no children preferred.' Which statement is MOST accurate?

✓ CORRECT: C) Both statements potentially violate the Fair Housing Act — private sellers are NOT fully exempt.

The Fair Housing Act's private individual exemption ('Mrs. Murphy exemption') only applies to: a single-family home sold by the owner WITHOUT using a real estate agent AND without discriminatory advertising. Once discriminatory advertising is used, the exemption is LOST. The 'no children' statement also violates FHA's familial status protection.

WHY NOT the other options:

A) Private sellers are NOT fully exempt. The exemption has strict conditions: no broker, no discriminatory advertising. The moment she places a discriminatory ad, the exemption evaporates.

B) Both statements are problematic once advertising is used. The exemption is all-or-nothing — use of discriminatory advertising eliminates the private seller exemption entirely.

D) Not using a real estate agent is NECESSARY for the exemption but NOT SUFFICIENT — discriminatory advertising also destroys the exemption regardless of whether a broker is involved.

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17. A borrower takes out an FHA loan in 2024 with a 3.5% down payment (96.5% LTV). They pay consistently for 11 years, bringing the LTV to 68%. What happens to FHA Mortgage Insurance Premium at that point?

✓ CORRECT: C) MIP continues for the life of the loan because the original LTV exceeded 90%.

For FHA loans originated after June 2013 with an original LTV ABOVE 90% (as in this case with 96.5% LTV), MIP is required for the LIFE OF THE LOAN — it does not automatically cancel regardless of how much the LTV decreases through payments or appreciation. The borrower must refinance into a conventional loan to remove MIP.

WHY NOT the other options:

A) This is the CONVENTIONAL PMI rule (HPA — Homeowners Protection Act). FHA MIP does NOT work the same way — for loans with original LTV >90%, there is no 78% automatic cancellation.

B) The 11-year automatic cancellation applies ONLY to FHA loans with original LTV of 90% or LESS. This borrower has 96.5% original LTV — well above 90%.

D) Unlike conventional PMI, FHA MIP cannot be canceled by the borrower simply by reaching 80% LTV. The life-of-loan requirement is absolute for >90% original LTV FHA loans.

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18. A lender's policy requires all mortgage applicants to have a minimum of 10 years at their current job. The policy is applied equally to all applicants regardless of race. However, statistical analysis shows the policy disqualifies minority applicants at twice the rate of non-minority applicants. This is an example of:

✓ CORRECT: B) Disparate impact — a facially neutral policy that disproportionately disadvantages a protected class.

Disparate impact occurs when a facially NEUTRAL policy (applied equally to everyone) produces disproportionately negative outcomes for a protected class — even without discriminatory intent. The 10-year employment requirement is neutral on its face but discriminatory in effect. This is illegal under ECOA and the Fair Housing Act.

WHY NOT the other options:

A) Disparate TREATMENT requires intentional different treatment of applicants based on protected class. This policy is applied equally — there is no disparate treatment. The harm is in the outcome (impact), not the intent.

C) Redlining is geographic — refusing to lend in certain areas based on racial composition. This policy applies to individual borrowers based on employment, not geography.

D) Steering directs borrowers to different products based on protected class. This policy denies loans entirely — it's not steering to a different product.

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19. Which of the following persons is NOT required to obtain an MLO license under the SAFE Act?

✓ CORRECT: D) A W-2 employee of a state-licensed mortgage company who only performs data entry and collects documents under the direction of a licensed MLO.

Loan processors and underwriters who are W-2 EMPLOYEES of a licensed entity and perform ONLY clerical/support duties (data entry, document collection) under the DIRECTION of a licensed MLO are exempt from MLO licensing. The key factors: employed (not independent contractor), clerical only (not taking applications or negotiating terms).

WHY NOT the other options:

A) Independent contractor loan processors/underwriters are specifically REQUIRED to be licensed — the employment exemption does not apply to independent contractors, even if they do the same work.

B) Taking applications AND negotiating terms meets the definition of a mortgage loan originator under the SAFE Act — licensing is required.

C) This is a gray area, but real estate agents who go beyond their licensed activities to negotiate mortgage terms may need an MLO license. 'Occasionally assisting' could still trigger the requirement depending on scope.

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20. A lender closes a refinance loan on a primary residence but fails to provide the right of rescission notice. Three years after closing, the borrower learns of this error and wants to rescind. Which is CORRECT?

✓ CORRECT: B) The borrower may be able to rescind — the rescission period extends to 3 years if required disclosures were not provided.

Under TILA, the right of rescission automatically extends to 3 YEARS from consummation if the lender fails to provide the required rescission notice or material disclosures. This is one of TILA's most significant remedies — borrowers retain the extended right even years after closing.

WHY NOT the other options:

A) The 3-business-day period only applies when proper disclosures were provided. When disclosures are deficient or missing, the extended 3-year period applies — the standard period does not expire the extended right.

C) No showing of actual harm is required to exercise the extended rescission right. The failure to provide the notice itself is sufficient to trigger the 3-year period.

D) There is no 'retroactive disclosure' mechanism. The failure created the extended right, and providing a late disclosure does not restart a new 3-day period after 3 years have elapsed.

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21. A borrower is deciding between a HELOC and a closed-end home equity loan (second mortgage) to fund a $50,000 kitchen renovation. Which statement MOST accurately describes the key difference?

✓ CORRECT: B) HELOCs are revolving credit with a variable rate; home equity loans are fixed lump-sum with a fixed rate.

A HELOC is a revolving line of credit (like a credit card secured by the home) with a variable rate, draw period, and repayment period. A closed-end home equity loan disburses a fixed lump sum at closing with a fixed rate and fixed monthly payment. These are fundamentally different product structures.

WHY NOT the other options:

A) This is the reverse of reality. HELOCs typically have VARIABLE rates tied to an index (usually Prime); closed-end home equity loans typically carry FIXED rates.

C) Tax treatment may differ and is not always identical (deductibility depends on use of funds and other factors post-Tax Cuts and Jobs Act). The products have structural differences beyond just disbursement.

D) Neither HELOCs nor closed-end seconds automatically require PMI — they are second mortgages, and lender requirements vary. PMI on the first mortgage is based on the first mortgage's LTV, not the CLTV.

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22. An MLO currently licensed in Texas accepts a position with a mortgage company in Colorado. She has not yet applied for a Colorado license. Under EGRRCPA transitional licensing provisions, she may:

✓ CORRECT: A) Originate loans in Colorado immediately for up to 120 days while pursuing a Colorado license.

EGRRCPA §106 provides transitional authority to out-of-state licensed MLOs moving to a new state: they can originate for up to 120 days (or until the new state license is granted/denied/withdrawn, whichever is first) while pursuing state licensure.

WHY NOT the other options:

B) The deadline to apply is not 30 days — the transitional authority lasts up to 120 days regardless of when she applies. However, she should apply promptly to ensure she receives her license within the 120-day window.

C) Transitional authority DOES exist for out-of-state licensed MLOs — this is the explicit purpose of the EGRRCPA §106 provision.

D) There is no federal mortgage originator interstate reciprocity system. Each state's license is jurisdiction-specific — the NMLS system facilitates multi-state licensing applications but does not create automatic reciprocity.

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23. A lender closes a loan on a property in a FEMA Special Flood Hazard Area (Zone AE). The borrower's homeowner's policy includes water damage coverage. The borrower argues flood insurance is redundant. The lender should:

✓ CORRECT: B) Require separate NFIP or private flood insurance — standard homeowner's policies do not cover flood damage.

Standard homeowner's insurance policies EXCLUDE flood damage — water damage coverage in a homeowner's policy covers internal leaks and similar events, NOT rising water/flooding. The Flood Disaster Protection Act requires federally regulated lenders to require NFIP or equivalent private flood insurance for any property in a SFHA, regardless of other coverage.

WHY NOT the other options:

A) Standard homeowner's water damage coverage is NOT the same as flood insurance. 'Water damage' in homeowner's policies typically covers burst pipes, not rising floodwater. They are separate and distinct coverages.

C) Borrowers CANNOT waive the flood insurance requirement for federally regulated loans in SFHAs. It is a mandatory federal requirement that the lender must enforce.

D) There is no loan amount threshold for the flood insurance requirement. It applies to ALL federally regulated mortgage loans on properties in designated SFHAs regardless of amount.

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24. An MLO's compensation plan at a mortgage company pays a flat 1% of loan amount for all loans, PLUS an additional 0.25% bonus when the borrower's interest rate is 0.5% above the market rate. Which element of this compensation plan violates Dodd-Frank?

✓ CORRECT: B) The 0.25% bonus tied to the interest rate — compensation cannot vary based on loan terms.

The Dodd-Frank LO Compensation Rule (Reg Z §1026.36) prohibits compensating MLOs based on the terms of the transaction, including the interest rate. A flat percentage of loan amount is permissible. A bonus for rates above market is NOT — it incentivizes steering borrowers to higher-cost loans.

WHY NOT the other options:

A) A flat percentage of loan amount (1% of loan) is PERMISSIBLE. The rule prohibits compensation that VARIES based on loan terms — a flat percentage that applies equally regardless of rate or product is acceptable.

C) Percentage-based compensation IS allowed — it's specifically compensation that VARIES with loan terms that is prohibited. Flat dollar and flat percentage are both permissible structures.

D) Disclosure does not cure an LO compensation rule violation. Anti-steering and compensation restrictions are absolute prohibitions, not disclosure requirements.

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25. Where is an MLO's NMLS unique identifier required to appear? Select the MOST complete answer.

✓ CORRECT: C) On all loan documents, advertising materials, and business cards.

The SAFE Act requires the NMLS unique identifier on: (1) all residential mortgage loan application forms (1003/URLA), (2) all written communications related to the loan, AND (3) all advertising for mortgage origination services (including business cards, websites, etc.). It is a comprehensive disclosure requirement.

WHY NOT the other options:

A) LE and CD are included, but the requirement is broader — it covers applications, ALL written loan communications, and advertising.

B) Applications and written communications are correct, but the requirement also extends to advertising and promotional materials — making C the more complete answer.

D) The unique identifier requirement is consumer-facing — it appears on borrower documents and advertising, not just regulatory submissions.

SCORE	RESULT	WHAT TO DO
22-25 correct	PASS ✓	Excellent! Focus on any missed topics.
19-21 correct	BORDERLINE	Review all incorrect + missed topics in study notes.
0-18 correct	NEEDS WORK	Re-read relevant sections and retake.